RATING ACTION

S&P Global Ratings places Kestrel Industries's B+ senior unsecured notes on CreditWatch with negative implications

18 March 2026

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Rationale

S&P Global Ratings today placed its B+ issuer credit rating on Kestrel Industries and its issue-level rating on the company's senior unsecured notes on CreditWatch with negative implications, following the company's public confirmation that it has received and is evaluating a proposal from a financial sponsor to acquire the company in a leveraged transaction.

The CreditWatch placement reflects our view that the proposed transaction, as publicly described, could increase leverage materially beyond the level consistent with the current rating, funded in part through an increased draw on the company's secured revolving credit facility and an incremental secured term loan. We expect to resolve the CreditWatch placement once a definitive agreement is signed and financing terms are disclosed, or once it becomes clear the proposal will not proceed.

We have not been provided with, and this action does not rely on, any confidential financing materials prepared by the sponsor in connection with the proposal; our analysis rests on publicly available information and on information the company has provided to us directly in the ordinary course of surveillance.

CreditWatch resolution factors

» We would likely affirm the rating and remove it from CreditWatch if the proposed transaction is abandoned or is restructured on terms that preserve leverage within the current rating's tolerance.

» We would likely lower the rating, potentially by more than one notch, if the transaction closes on terms that increase pro forma leverage materially beyond the level currently contemplated, or that indicate an aggressive sponsor financial policy going forward.

Methodology

The ratings above are assigned under S&P Global Ratings' Corporate Methodology, together with its Issue Rating Methodology's recovery-analysis framework for the issue-level rating on the notes. A CreditWatch placement does not itself change the current rating; it signals that we expect to reassess the rating, favorably or unfavorably, within a defined near-term horizon.

Background

Kestrel Industries's owner publicly confirmed on 12 March 2026 that it had received and was evaluating a proposal from a financial sponsor to acquire the company. The proposal, as publicly described, contemplates funding through a combination of sponsor equity, an increased draw under the company's secured revolving credit facility, and an incremental secured term loan, with the company's existing senior unsecured notes and its municipal conduit financing both expected to remain outstanding rather than be refinanced at closing.

We currently rate the notes B+ and the company's issuer credit rating B+, both now on CreditWatch with negative implications as described above.

Other Ratings

We separately note that Moody's Investors Service maintains its own independent B1 rating on the notes, on Moody's own rating scale and under Moody's own methodology; see Moody's own published rating action for that agency's own analysis, which we do not restate here. The two agencies' ratings and adjusted-credit measures are prepared independently and are not intended to be combined or averaged.

Key credit metrics

Metric	As of LTM Jun-2026
S&P-adjusted Debt/EBITDA	4.9x
S&P-adjusted EBITDA margin	14.1%
Liquidity assessment	Adequate

These are the same S&P-adjusted metrics discussed at greater length in our full credit opinion on the company's secured revolving credit facility; this CreditWatch action does not restate that opinion's own detailed rationale, which a reader seeking further detail should consult directly.

Analyst commentary

We would view a transaction structure that increases pro forma leverage by more than roughly one turn of EBITDA beyond current levels, absent a credible near-term deleveraging plan, as consistent with a one-notch downgrade on resolution of this CreditWatch placement. A more modest leverage increase, particularly one accompanied by a publicly stated sponsor commitment to deleveraging, could instead be consistent with an affirmation.

We expect to have sufficient information to resolve this CreditWatch placement once a definitive purchase agreement is signed and its financing terms are disclosed; absent that, we would expect to resolve the placement, one way or the other, within the horizon our own published CreditWatch conventions specify for a placement of this kind.

Rating History

Date	Action	Rating	Status
18 April 2023	Assigned at issuance	B+	Stable outlook
18 March	Placed on CreditWatch negative (this action)	B+	CreditWatch negative

2026			

This is the second S&P Global Ratings rating action on Kestrel Industries's notes since their 2023 issuance. We placed the rating on CreditWatch rather than immediately lowering it because we do not yet have the transaction's financing terms in hand; a CreditWatch placement is our standard convention for exactly this situation - a known, material event whose credit consequences cannot yet be sized with the precision an immediate rating action would require.

We will continue to monitor public disclosure regarding the proposed transaction and will resolve this CreditWatch placement, in either direction, once sufficient information becomes available, consistent with our general surveillance practice for a rating already on CreditWatch.

Recovery expectations

The notes' issue-level rating remains B+, equal to the issuer credit rating, reflecting our expectation of average recovery prospects (30%-50%) for a senior unsecured obligation of this kind in a hypothetical default scenario. We have not changed our recovery expectations as part of this action; a change in the amount of secured debt ranking ahead of the notes, which the pending transaction's financing structure could produce, is a factor we would revisit as part of resolving this CreditWatch placement.

Related research

See our full credit opinion on Kestrel Industries's secured revolving credit facility for additional detail on our S&P-adjusted financial metrics and our Business Risk Profile and Financial Risk Profile assessments; this CreditWatch action on the notes and that separate issue-level opinion on the facility are related but distinct rating actions, covering different instruments in the company's capital structure.

A reader seeking Moody's own analysis of the same pending transaction should consult Moody's own published rating actions on the notes and on the company's separate municipal conduit financing, neither of which this action restates.

Primary credit analyst contacts

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Secondary contact and additional research committee members are available on request through the primary contacts listed above.

Regulatory disclosures

This action was taken as part of our regular surveillance of the issuer and not in response to a request from the issuer or any third party. All ratings information used in this action was obtained from sources believed to be reliable, including public disclosures and information provided directly by the issuer in the ordinary course of surveillance. S&P Global Ratings did not and does not have access to any non-public financing materials in connection with the pending transaction discussed above.

A description of S&P Global Ratings' rating scale and definitions, and a description of our policies on the use of confidential information, are available on our public website free of charge; this action does not reproduce those materials in full and a reader requiring them should consult that public source directly.

This CreditWatch action supersedes no prior rating action other than the initial 2023 issuance rating shown in the Rating History table above; there has been no intervening rating action on this issuer between issuance and this CreditWatch placement.

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